



THE QUAIDE MILLETH COLLEGE FOR MEN
(Reaccredited by NAAC)
INTERNAL QUALITY ASSURANCE CELL



THE QUAIDE MILLETH COLLEGE FOR MEN
DEPARTMENT OF CORPORATE SECRETARYSHIP
QUESTION BANK WITH ANSWERS KEYS
MARKETING – CYB1B
UNIT - I

Introduction to marketing – meaning – definition and functions of marketing – marketing orientations – role and importance of marketing – classification of markets.

TWO MARK QUESTIONS AND ANSWERS

Define Marketing.

Ans: According to E.F.L. Breach, “Marketing is the process of determining consumer demand for a product or service, motivating its sales and distributing it to ultimate consumer at a profit.

What is Meta Marketing?

Ans: Meta means ‘Beyond’, it is the synthesis of all managerial, traditional, scientific, social and historical foundations of marketing and includes speculation on the inter-relationships of mental and physical process to supplement the facts and empirical observations of marketing practice.

Define market.

Ans: According to Pyle “Market includes both place and region in which buyers and sellers are in free competition with one another”

Define marketing concept

Ans: an integration of marketing activities directed towards customer satisfaction.



FIVE MARK QUESTION AND ANSWERS

What are the concepts of marketing? Explain.

- **Exchange orientation philosophy:** exchanging the product for price. In olden days barter system was followed, exchanging goods for goods eg: paddy for rice.
- **Production Concept:** Huge products were produced at low price, mass production and mass distribution.
- **Product concept:** High quality of products were produced. Marketer concentrated mainly on producing high quality of goods.
- **Customer orientation concept:** after identifying the consumer needs and wants product will be produced to satisfy the customer.
- **Social marketing concept:** is the systematic application of marketing along with other concept and techniques to achieve specific behavioral goals for a social good.

Explain the Importance of marketing.

- i. It is marketing which has converted 'yesterday's luxuries into today's necessities.
- ii. Marketing converts latent demand into effective demand.
- iii. Any reduction in the cost of marketing is really a benefit to society. Low price are a boon to the entire population.'
- iv. Marketing provides wide employment
- v. The nation's income is composed of goods and services.
- vi. Any increase in the efficiency of marketing really results in a lower cost of distribution. Lower prices to consumers means a real increase in the national income.

Explain the role of marketing.

- ✓ Ans: Marketing is an economic function
- ✓ Marketing is a legal process by which ownership transfers
- ✓ Marketing is a system of interaction business activities
- ✓ Marketing is philosophy
- ✓ Marketing is an managerial function.



TEN MARK QUESTIONS AND ANSWERS

What are the functions of marketing? Explain.

Functions of exchange

- **Selling:** Goods are made for profitable sale. Selling is the sum total of all those activities that push the commodities to the buyers or consumers at a profitable price.
- **Buying:** All such activities involved in the assembling of goods, under a single ownership and control. Consumer purchase a product for price to satisfy their needs.
- **Assembling:** The commodities produced at different places, in different seasons, in various areas are brought together.

Functions of physical supply

- **Transportation:** is the physical means, to move the goods and people from one place to another.
- **Storage:** The products are to be preserved from the time of production to the time of consumption, as they cannot be sold immediately.

Facilitating functions

- **Financing:** is the base for all marketing activities.
- **Risk bearing:** many risks are involved in marketing
- **Marketing information:** It includes the facts, estimates, opinions, views, regarding the market weather.
- **Standardization:** It is related with the division of commodities into distinct groups, each having common characteristics.

What are the approaches to the study of marketing?

- ✓ Product or commodity approach
- ✓ Institutional approach
- ✓ Functional Approach
- ✓ Decision making or management approach



What are the factors influencing marketing concept?

- ✓ Growth of population
- ✓ More disposable income
- ✓ More discretionary income
- ✓ Technological Advancement
- ✓ Mass –Communication media
- ✓ credit facilities



UNIT – II

Marketing environment – micro and macro environment (factors affecting internal environment and external environments.)

TWO MARKET QUESTIONS AND ANSWERS

What is marketing environment?

Ans: It consists of both internal and external factors. It is based on threats and opportunities.

What is micro environment?

Ans: Micro environment is otherwise called as internal environment which includes public, customer, supplies, competitors, intermediaries etc.,

What is Macro Environment?

Ans: It is other - wise called as external environment it includes political and legal environment, ecological forces, technological forces, social forces and ethical forces.

Who is a competitor?

Ans: There are many big and small competitor who are engaged in similar activities or near similar activities- be it a production or marketing or both.

FIVE MARK QUESTIONS AND ANSWERS

What are internal factors? Explain.

- ✓ **Suppliers:** raw-materials are purchased from suppliers to produce products to satisfy customer needs.
- ✓ **Intermediaries:** intermediaries are middlemen like wholesalers, retailers, agent and brokers.
- ✓ **Customers:** a business house has no business without customer. Customer are the king of the market.



What are the external factors? Explain.

- ✓ **Political and legal environment:** it is the government that regulates the business activities as is the custodian of the nation.'
- ✓ **Economic environment:** marketing provides major contribution to the development of the economy.
- ✓ **Ethical forces:** the business community has the ethical responsibility while delivering the goods and services to the society.
- ✓ **Technological environment:** it is very important environment. The marketer need to update its product based on the consumer taste and preference.

TEN MARK QUESTION ANSWERS

What are the major factors influencing consumer behavior? Explain briefly.

- ✓ **Culture Sub Culture:**A group of people with shared value systems based on common life experiences and situations.
- ✓ **Sub culture:** includes nationalities, religions, racial group and geographical regions.
- ✓ **Social Class:** social classes are society's relatively permanent and ordered divisions whose members share similar vales, interests and behavior.
- ✓ **Social FactorsGroups:** Two or more people who interact to accomplish individual or mutual goals.
- ✓ **Family:** Family members can strongly influence buyer behavior.
- ✓ **Personal Factors:** Age and Life cycle stage: People change the goods and services they buy over their lifetime. Tastes in food, clothes, furniture, and recreation are often age related.
- ✓ **Psychological factors:** Motivation: a need that is sufficiently pressing to direct the person to seek satisfaction of the need.
- ✓ **Perception:** The process by which people select, Organize, and interpret information to form a meaningful picture of the world.
- ✓ **Learning:** Changes in an individual's behavior arising from experience.



UNIT III

marketing segmentation – concept – benefits – bases and level, introduction to consumer behavior-need for study - consumer buying decision process – buying motives.

TWO MARK QUESTIONS AND ANSWERS

Definition of marketing segmentation.

According to Philip Kotler “It is the sub-dividing of a market into homogeneous sub-sects of customers where any sub-sect may conceivable be selected as a market target to be reached with a distinct marketing mix.

Define consumer behavior.

Ans: according to walter C. G. and G. W. Faul “Consumer behavior is the process whereby individuals decide whether, what, when, how and from whom to purchase goods and services.”

What is buying motives?

Ans: a consumer buys a particular product because he is influenced by certain motives. Motives are a strong feeling, urge, instinct, desire or emotion that makes the buyer to react in the form of a decision to buy.

FIVE MARK QUESTIONS AND ANSWERS

What are the processes of buying? Explain.

- ✓ **Need recognition:** Need recognition is the awareness of the want or a desire of consumer to satisfy need.
- ✓ **Information search:** Consumer searches for relevant in formation. Have alternative sources of information to tap such as friends, relatives, neighbors, salesmen, dealers, averments, packages etc.,
- ✓ **Evaluation and intention:** The consumer assigns relative values or weights of alternative products or services based on the accumulated information.



- ✓ **Purchase Decision:** Decision to purchase implies consumer commitment for a product or a service.
- ✓ **Post-purchase reaction:** It is a positive or negative feeling.

What are the classifications of buying motives? Explain.

- ✓ **Product motives:** product buying motives are those that prompt the consumer to buy because of physical and psychological product attributes.
- ✓ **Emotional Product motives:** consumer purchase product with ego, pride and emotion.
- ✓ **Rational Product motives:** consumer will purchase the product after knowing the pros and cons of the product.
- ✓ **Emotional Patronage motive:** purchasing the product from a shop without having any intention to purchase, this type of products are less expensive.
- ✓ **Rational Patronage motive:** products are purchased from a particular shop for a specific reason like discount, variety of choice, brand loyalty etc.,

What are the requirements for successful segmentation?

- ✓ Substantially
- ✓ Accessibility
- ✓ Measurability
- ✓ Nature of demand
- ✓ Formulation of effective programmes
- ✓ Difference in response rates

TEN MARK QUESTIONS AND ANSWERS

What are the bases for market segmentation? Explain.

Consumer characteristic approach

- ✓ **Geographic characteristics:** regional difference in consumer tastes for products. eg: selling of newspapers.



- ✓ **Demographic and socio-economic segmentation:** segmentation is based on the demographic profile of the responded like age, gender, income level occupation etc.,
- ✓ **Psychographic segmentation:** the segmentation is based on value, beliefs, life style and culture.
- ✓ **Consumer response approach:** Benefit response: are the aspect of efficiency, prestige, durability, economy or resale value and the like.
- ✓ **Usage response:** non-user, ex-user, one time user, potential user etc.,
- ✓ **Loyalty responses:** Hard core loyal, split loyal and Switcher etc.,
- ✓ **Occasion response:** Some products are purchased only at the time of occasion like festival. eg: cracker, papers, notes etc.,

What are the benefits of market segmentation? Explain.

- ✓ **A more precise definition of the market:** Thus the firm would be in a better position to spot and compare marketing opportunities.
- ✓ **A more effective marketing programme:** The information gained from market segmentation allows the organization to plan a systematic and matching market programme
- ✓ **Better assessment of the competition:** market segmentation helps in assessing correctly the strengths and weaknesses of the competitors.
- ✓ **Better allocation of resources:** promotional campaigns can be coordinated effectively so that the consumers would recognize the promotional appeal quickly and the marketers would minimize the losses resulting from excess exposures.



UNIT – IV

Marketing mix-meaning-introduction to stages of new product development-types-introduction to product life cycle-product mix-price-pricing policy and methods place – channels of distribution (levels) – channel members-promotion-communication mix-basic of advertisement, sales promotion and personal selling.

TWO MARK QUESTIONS AND ANSWERS

Define marketing mix.

Ans: according to Mr. Jerome McCarthy “Marketing is the pack of four sets of variables namely-product variables, price variables, promotional variables and place variables.”

Definition of product.

According to Philip Kotler “ A product is anything that can be offered to a market for attention, acquisition, use or consumption. It includes physical objects, services, personalities, place, organization and ideas.”

Define Product life cycle.

Ans: according to Philip Kotler “An attempt to recognize distinct stages in the sales history of the product”.

Define channel of distribution.

Ans : according to American Marketing Association “ Market Channel is the structure of intra company organization units and extra company agents and dealers, wholesale and retail, through which a commodity, product or service is marketed”.

Define advertisement.

Ans: According to Philip Kotler “Advertising can be viewed as any paid form of non-personal presentation and promotion of ideas, goods or services by an identified sponsor”.



Definition of Sales-Promotion.

Ans: According to Christian Peterson “Sales-promotion is the achievement of short-term marketing objectives by schematic means”.

Definition of personal selling.

Ans: According to American Marketing Association “ Personal selling is the oral presentation in a conversation with one or more prospective purchasers for the purpose of making sales; it is the ability to persuade the people to buy goods and service at a profit to the seller and benefits to the buyer:.

FIVE MARK QUESTIONS AND ANSWERS

What are the merits and limitation of personal selling?

Merits

- ✓ **Flexibility and adaptability:** Personal selling by its very nature is capable of providing more flexible.
- ✓ **Minimum waste:** Efforts put in by the salesman are highly focused on a single customer or a small group of customers.
- ✓ **Acts as a feed-back:** The salesman in direct contact with the consumers, he has the advantage of collection and transmitting the relevant market information affecting.
- ✓ **Creates lasting impression:** The personal selling process is so direct and penetrating that lasting business relation can be developed between the selling house and the clientele.
- ✓ **Pulls through logical sequence:** The personal selling follows a logical selling process which matches to the reasoning of one and all.

Limitations

- ✓ **It is expensive:** Personal selling as a method of promotion is quite expensive.
- ✓ **Difficulty of getting right kind of salesmen:**It is really very difficult to get suitable salesmen from company's point of view.



- ✓ **Stake in consumer loyalty:** Personal selling is such a process-direct and close- between the customer and salesman.
- ✓ **More administrative problems:** Personal selling involves more of administrative problems than impersonal selling.

What are the stages in product life cycle? Explain.

- ✓ **Introduction Stage:** sales are low and creeping very slowly, highest promotional expenses, highest product prices.
- ✓ **Growth Stage:** Once the market has accepted the product, sales begin to rise. The prices may remain high to recover some of the development costs. With high sales and prices, profits rise sharply. High promotional expenses, product improvement.
- ✓ **Maturity:** sales increase at decreasing rate, Normal Promotional expenses, Uniform and lower prices
- ✓ **Decline:** sales begin to fall under the impact of new product competition and changing consumer tastes and preferences.

What are the various kinds of pricing?

- ✓ Premium Pricing
- ✓ Penetration Pricing
- ✓ Economy Pricing
- ✓ Skimming Pricing
- ✓ Psychological Pricing
- ✓ Optional Product Pricing
- ✓ Bundling Price
- ✓ Promotional Pricing Strategy
- ✓ Geographical Pricing.

TEN MARK QUESTIONS AND ANSWERS

What are the various tools of sales promotion? Explain.

- ✓ **Dealer promotion:** The term ‘dealer’ is used here to include the retailers, wholesalers and distributors.



- ✓ **Dealer loaders:** is the premium offered to dealers tied with the quantity of purchase.
- ✓ **Merchandise dealers:** When a marketer aims at building a dealer inventories by offering additional quantities of saleable merchandise as an incentive.
- ✓ **Price deals:** special discount are offered over and above the regular discounts agreed upon between the dealers and the company.
- ✓ **Gift-novelties:** The marketing house prefers to give away attractive and useful articles as presents to the dealers against the orders placed.
- ✓ **Dealers Coupons:** A coupon is simply a document that entitles the holder certain stated concessions.
- ✓ **Dealer sales contests:** Sales contest is a sales incentive competition organized amongst salesmen or dealers.
- ✓ **Direct consumer offers:** Direct premium implies that premium is given right at the time of purchase
- ✓ **Off the pack premiums:** The marketer distributes the gift articles meant for the consumers among the wholesalers and retailers and then announces the premium offer through attractive advertising media to bring the fact to the notice of consumer.
- ✓ **Consumer Contests:** It is a contest or competition based on skill among the consumers in which prizes are offered.

What are the pricing objectives? Explain.

- ✓ Survival
- ✓ Target return on investment
- ✓ Market share
- ✓ Price and profit stabilization
- ✓ Resource mobilization
- ✓ Profit maximization
- ✓ Maintaining the image



UNIT V

Recent trends in marketing – basic understanding of E-marketing-consumerism-market research, MIS (management Information System), Marketing Regulation.

Define E-Commerce.

Ans: According to Mr. John Bull E-commerce is the paperless exchange of business information using EDI, e mail, e-bulletin EFT and other network based technologies.

Define Marketing Research.

Ans: According to Philip Kotler “Systematic problem analysis, model building and fact-finding for the purposes of important decision-making and control in the marketing of goods and services”.

Define MIS.

Ans: : an interacting, continuing, future oriented structure of people, equipment and procedure designed to generate an process an information flow which can aid business executives in the management of their marketing programmes”.

What is EDI?

Ans: Electronic Data Interchange (EDI) is a means of communication being rapidly assimilated into every day business practice. It is facilitated by technology infrastructure, which permits routine information exchange between computer based processes.

FIVE MARK QUESTION AND ANSWERS

What are the features of marketing research? Explain.

Ans: **It is Systematic:** It is an organized activity. There is a definite way or procedure in which research is conducted. It stands for series of steps or sequence of operations with logical arrangement.



It is Scientific: The major aim of conducting marketing research is to supply relevant information to the marketing manager to enable him to make sound and timely decisions.

It is Managerial Tool: It an effective tool of management for making decisions. Management of to-day are faced with countless problems which are to be solved within minimum time and cost.

What are the Merits and Demerits of EDI? Explain.

Merits

- ✓ **Cost Reduction:** Major benefit is cost reduction by eliminating paper document handling with faster electronic document transaction.
- ✓ **It Improves Overall Quality:** By better record keeping fewer errors in data, reduction in processing time, less reliance on human interpretation of data, minimized unproductive time.
- ✓ **Reduction in Inventory:** It permits faster and more accurate filling or orders, that helps in reducing inventory, assets in just in time (JIT) management.
- ✓ **It saves time and manpower:** It saves time and manpower by avoiding the need and reboot data; further it eliminates errors introduced by rebooting.
- ✓ **Early arrival of data:** Data arrives much faster than it could be by mail and there is an acknowledgement.

Demerits

- ✓ **It has structured way of working:** Since EDI is a structured way of working, companies usually change operating procedure.
- ✓ **It Brings Change in Responsibilities:** Responsibilities may have to be changed during the introduction of EDI system.
- ✓ **Limited Accessibility:** A subscriber to an on line service called VAN-value added network.
- ✓ **Rigid requirements:** EDI needs structured protocols, previously established arrangement-unique proprietary bilateral information exchange.



TEN MARK QUESTIONS AND ANSWERS

Explain the steps in market research.

- ✓ Defining the research problem
- ✓ Translating managerial problem into research problem
- ✓ Developing a research design
- ✓ Collection of marketing data
- ✓ Data analysis and interpretation
- ✓ Considering possible solutions
- ✓ Preparing and presenting the research report
- ✓ Follow-up of recommendations

What are the elements of good marketing information system? Explain.

- ✓ It is a unified and centralized system
- ✓ It is decision supporting system
- ✓ It is compatible with the organization
- ✓ It is economical
- ✓ It is need-based and use-oriented
- ✓ It is fast in communication
- ✓ It is future oriented